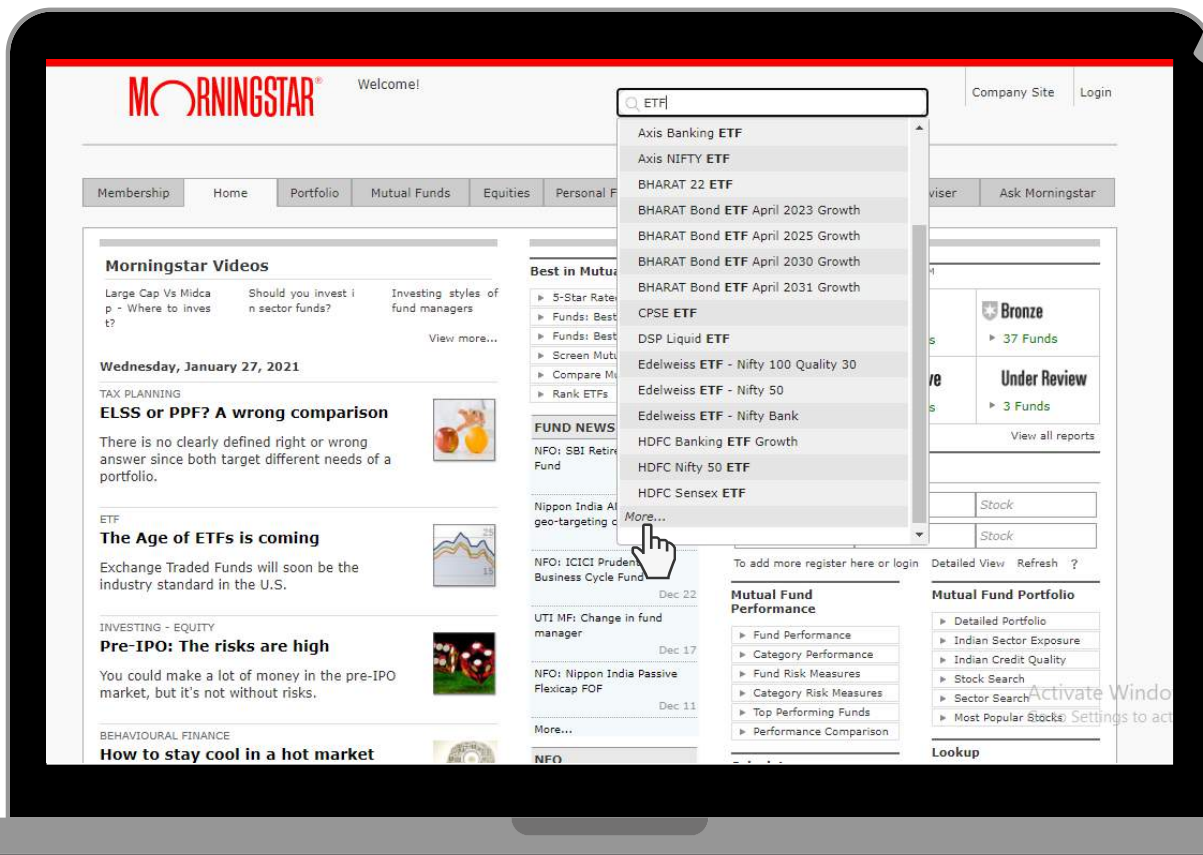


To select ETF in India, go to www.morningstar.in. In the search bar, type, 'ETF' and a dropdown menu will appear. Here, click on 'more' and it will take us to a list of ETFs available in India. In the ETF list, we can see the various indices or asset classes that we can invest in. The trade can be executed from our broker's app just like we buy individual stocks.



The indices are average performance in the category. BSE and NSE create indices that show average performance i.e. the average of all active investors. So, in the long run, getting a return that is in line with the category average works out well for wealth generation. Also, with active investment, we are allowing the manager to incur an expense ratio and then expect them to outperform the category or at least be at par with the category average. For instance, the fund manager incurs 1.5% expense and the category returns 16%. So, they need to achieve 17.5% just to be on par with the average. This is a relatively difficult task to do. As a result, ETF is used which has a very low expense ratio and gives us category average performance consistently. However, the return shall be enough to meet our goals.

In ETF and Index Fund, buying the correct category index is the key. The index represents a category and the return will be based on the same. So, either mutual funds or ETFs, both work fine to meet our financial goals, if done well.